

Alchip Technologies 3661.TW 3661 TT

EQUITY: FABLESS

Capacity key for 2027F; content to rise into 2028F

Maintain Buy on clear project pipeline and content upgrades; capacity could potentially cap 2027F's upside

Maintain Buy with lower TP of TWD5,300, implying 26% upside

Trainium 3 was ramped up from 2Q26, which led to an 83% q-q revenue growth. GM declined to 35% in 2Q from 50% in 1Q as the production revenue mix rose, while beating our/Bloomberg consensus estimates of 34%/30% (Fig. 1). Management's guidance on GM is, however, positive; it expects both 3Q/4Q blended GM to be 20%-ish and 2026 blended GM to be low-to-mid 20%, mitigating market concerns about GM erosion from production volume ramp-up. For the N2 project (Trainium 4, we believe), design has entered its final implementation phase, with tape-out still guided in the year-end and volume production targeted by end-2027. The automotive ADAS business also remains a bright spot, with it being the company's second-largest revenue contributor in 2026. Management also pointed to favorable operating leverage, with long-term operating margin targets toward high-teens as the scale builds up.

In line with our view discussed in our *AI Semi Anchor report* that Alchip's lead customer will likely face insufficient capacity into 2027F, we cut our 2027F EPS by 12% (Fig. 2). While management emphasized that its lead customer has received relatively favorable capacity support, it also acknowledged that advanced-node capacity is likely to remain tight into 2027-2028E as the N2 generation ramps up. Should the customer proactively secure additional capacity allocation, or explore alternative advanced-packaging/manufacturing routes to diversify supply, there could be upside optionality. However, commercial terms and profit-sharing arrangements could be another source of uncertainty, in our view. Our 2027F EPS is 18% lower than consensus, mainly on capacity concerns. We suggested WoS would be even a larger supply issue than CoW (report), which is a supply risk to ASIC vendors which requested 2027 capacity from supply chain very late. However, we still like its content expansion from Trainium 4 into 2028F. We believe there would be at least three logic dies for Trainium 4, from one die from Trainium 3 on one interposer. Our 2028F EPS is roughly on par with consensus (Fig. 4). We maintain our Buy rating and 35x 2027F P/E (vs. average of 30x in the past five years), and derive our lower TP of TWD5,300. The company now trades at 27.8x.

Management's tone was positive during the earnings meeting

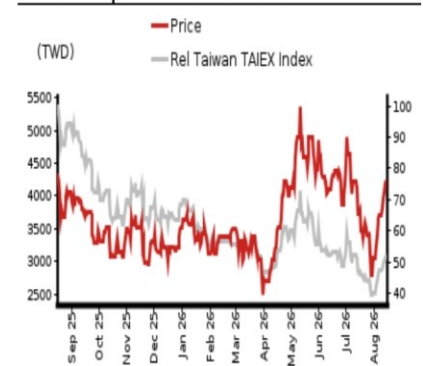
Management expressed high confidence in securing a second major hyperscaler/CSP customer; separately, it suggested the N2-generation market scale could approach a scale similar to that of the TPU program (addressable market in the USD80-100bn range). Management also highlighted the ~3-4x TCO cost advantage of ASIC vs. GPU, and mentioned CPU projects for the first time. We continue to expect ASIC vendors to play key roles along with AI demand and offer cost-effective solutions for CSPs, and Alchip stands attractive given its undemanding pricing and proven track record.

Year-end 31 Dec	FY25		FY26F		FY27F		FY28F	
Currency (TWD)	Actual	Old	New	Old	New	Old	New	
Revenue (mn)	30,926	77,118	72,898	123,283	102,521	0	152,320	
Reported net profit (mn)	5,598	11,241	11,699	14,006	12,861	0	20,246	
Normalised net profit (mn)	5,598	11,241	11,699	14,006	12,861	0	20,246	
FD normalised EPS	69.18	138.16	141.71	172.14	151.30		238.19	
FD norm. EPS growth (%)	-14.9	99.7	104.8	24.6	6.8		57.4	
FD normalised P/E (x)	60.9	—	29.7	—	27.8	—	17.7	
EV/EBITDA (x)	40.9	—	22.7	—	18.8	—	13.8	
Price/book (x)	8.3	—	6.7	—	5.9	—	4.7	
Dividend yield (%)	0.8	—	1.5	—	1.6	—	2.6	
ROE (%)	14.0	25.0	25.6	26.1	23.6		31.0	
Net debt/equity (%)	net cash	net cash	net cash	net cash	net cash		net cash	

Source: Company data, Nomura estimates

Rating	Buy
Remains	
Target price	TWD 5,300.00
Reduced from	TWD 6,000.00
Closing price	TWD 4,210.00
14 August 2026	
Implied upside	+25.9%
Market Cap (USD mn)	11,340.6
ADT (USD mn)	267.2

Relative performance chart



Source: LSEG, Nomura

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Key data on Alchip Technologies

Performance

(%)	1M	3M	12M		
Absolute (TWD)	13.0	-12.8	-0.9	M cap (USDmn)	11,340.6
Absolute (USD)	13.6	-14.1	-7.2	Free float (%)	88.0
Rel to Taiwan	10.6	-22.6	-89.9	3-mth ADT (USDmn)	267.2
TAIEX Index					

Income statement (TWDmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Revenue	51,969	30,926	72,898	102,521	152,320
Cost of goods sold	-41,768	-22,772	-55,776	-82,990	-122,825
Gross profit	10,201	8,154	17,122	19,531	29,494
SG&A	-1,563	-1,306	-1,874	-2,460	-3,656
Employee share expense	-2,142	-1,831	-2,618	-2,638	-2,921
Operating profit	6,496	5,017	12,630	14,432	22,918
EBITDA	9,140	8,077	15,593	17,431	25,923
Depreciation	-2,129	-2,744	-2,426	-2,462	-2,468
Amortisation	-514	-317	-537	-537	-537
EBIT	6,496	5,017	12,630	14,432	22,918
Net interest expense	1,194	1,583	1,552	1,154	1,586
Associates & JCEs					
Other income	118	120	50	0	0
Earnings before tax	7,808	6,720	14,231	15,586	24,504
Income tax	-1,362	-1,124	-2,534	-2,727	-4,259
Net profit after tax	6,447	5,596	11,697	12,860	20,245
Minority interests	-1	2	2	1	1
Other items	0	0	0	0	0
Preferred dividends					
Normalised NPAT	6,446	5,598	11,699	12,861	20,246
Extraordinary items					
Reported NPAT	6,446	5,598	11,699	12,861	20,246
Dividends	-2,946	-2,778	-5,347	-5,878	-9,253
Transfer to reserves	3,500	2,820	6,353	6,983	10,993

Valuations and ratios

Reported P/E (x)	51.8	60.9	29.7	27.8	17.7
Normalised P/E (x)	51.8	60.9	29.7	27.8	17.7
FD normalised P/E (x)	51.8	60.9	29.7	27.8	17.7
Dividend yield (%)	0.9	0.8	1.5	1.6	2.6
Price/cashflow (x)	99.4	22.3	—	9.2	—
Price/book (x)	8.6	8.3	6.7	5.9	4.7
EV/EBITDA (x)	36.8	40.9	22.7	18.8	13.8
EV/EBIT (x)	51.7	65.8	28.0	22.7	15.6
Gross margin (%)	19.6	26.4	23.5	19.1	19.4
EBITDA margin (%)	17.6	26.1	21.4	17.0	17.0
EBIT margin (%)	12.5	16.2	17.3	14.1	15.0
Net margin (%)	12.4	18.1	16.0	12.5	13.3
Effective tax rate (%)	17.4	16.7	17.8	17.5	17.4
Dividend payout (%)	45.7	49.6	45.7	45.7	45.7
ROE (%)	22.4	14.0	25.6	23.6	31.0
ROA (pretax %)	28.5	20.6	26.8	25.9	31.7

Growth (%)

Revenue	70.5	-40.5	135.7	40.6	48.6
EBITDA	58.1	-11.6	93.0	11.8	48.7
Normalised EPS	78.9	-14.9	104.8	6.8	57.4
Normalised FDEPS	78.9	-14.9	104.8	6.8	57.4

Source: Company data, Nomura estimates

Cashflow statement (TWDmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
EBITDA	9,140	8,077	15,593	17,431	25,923
Change in working capital	-5,050	8,884	-27,706	23,025	-37,980
Other operating cashflow	-732	-1,689	-803	-1,572	-2,673
Cashflow from operations	3,358	15,272	-12,916	38,884	-14,730
Capital expenditure	-1,998	-2,287	-4,887	-6,977	-10,260
Free cashflow	1,360	12,985	-17,803	31,907	-24,990
Reduction in investments	728	-4,630	-4,432	0	0
Net acquisitions					
Dec in other LT assets					
Inc in other LT liabilities					
Adjustments	594	1,089	396	0	0
CF after investing acts	2,681	9,444	-21,840	31,907	-24,990
Cash dividends	-1,818	-2,946	-2,778	-5,347	-5,878
Equity issue	14,771	333	110	0	0
Debt issue					
Convertible debt issue					
Others	1,251	-1,248	560	0	0
CF from financial acts	14,203	-3,861	-2,108	-5,347	-5,878
Net cashflow	16,885	5,583	-23,948	26,560	-30,867
Beginning cash	10,160	27,044	32,627	8,679	35,239
Ending cash	27,044	32,627	8,679	35,239	4,372
Ending net debt	-27,044	-32,627	-8,679	-35,239	-4,372

Balance sheet (TWDmn)

As at 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Cash & equivalents	27,044	32,627	8,679	35,239	4,372
Marketable securities	2,384	6,254	10,327	10,327	10,327
Accounts receivable	5,730	3,011	18,661	6,841	23,196
Inventories	8,661	6,945	29,456	10,816	46,791
Other current assets	2,366	4,219	3,499	3,499	3,499
Total current assets	46,184	53,057	70,622	66,721	88,184
LT investments	1,600	2,204	2,819	2,819	2,819
Fixed assets	1,775	1,680	3,696	8,211	16,002
Goodwill					
Other intangible assets	248	257	-226	-763	-1,299
Other LT assets	502	841	686	686	686
Total assets	50,309	58,039	77,596	77,674	106,391
Short-term debt	0	0	0	0	0
Accounts payable	1,826	1,986	11,750	4,314	18,665
Other current liabilities	8,845	14,988	14,960	14,960	14,960
Total current liabilities	10,672	16,975	26,709	19,274	33,624
Long-term debt	0	0	0	0	0
Convertible debt					
Other LT liabilities	161	240	224	224	224
Total liabilities	10,833	17,214	26,933	19,497	33,848
Minority interest	21	19	17	16	14
Preferred stock	0	0	0	0	0
Common stock	806	813	815	815	815
Retained earnings	10,752	13,405	22,326	29,840	44,209
Proposed dividends					
Other equity and reserves	27,897	26,587	27,505	27,505	27,505
Total shareholders' equity	39,456	40,805	50,646	58,160	72,529
Total equity & liabilities	50,309	58,039	77,596	77,674	106,391

Liquidity (x)

Current ratio	4.33	3.13	2.64	3.46	2.62
Interest cover	—	—	—	—	—

Leverage

Net debt/EBITDA (x)	net cash	net cash	net cash	net cash	net cash
Net debt/equity (%)	net cash	net cash	net cash	net cash	net cash

Per share

Reported EPS (TWD)	81.34	69.18	141.71	151.30	238.19
Norm EPS (TWD)	81.34	69.18	141.71	151.30	238.19
FD norm EPS (TWD)	81.34	69.18	141.71	151.30	238.19
BVPS (TWD)	490.15	504.66	626.37	719.31	897.01
DPS (TWD)	36.40	33.27	62.90	69.15	108.85

Activity (days)

Days receivable	28.7	51.6	54.3	45.4	36.1
Days inventory	88.6	125.1	119.1	88.6	85.8
Days payable	16.4	30.6	44.9	35.3	34.2
Cash cycle	100.9	146.1	128.4	98.6	87.7

Source: Company data, Nomura estimates

Company profile

Alchip, established in 2003, is a design service provider focusing on back-end design. Major revenue sources are HPC/AI applications (90%+ revenue). Advanced nodes (7nm and below) contributed 95%+ of total revenue.

Valuation Methodology

Our TP of TWD5,300 is based on 35x 2027F EPS. Our valuation multiple of 35x is at around mid-end of its trading range (vs. average of 30x in the past five years). Benchmark is TAIEX.

Risks that may impede the achievement of the target price

Major downside risks: 1) more in-sourcing trend from customers,. 2) insufficient manufacturing and packaging capacity, and. 3) intense competition in the ASIC business.

ESG

Alchip strives to develop environmentally friendly chip designs, enhance social responsibility, and establish excellent corporate governance standards. Alchip is committed to providing and developing low-power and small-chip design solutions that minimize energy conservation and carbon emission.

Financial analysis and forecasts

Fig. 1: Alchip's 2Q26 results vs Nomura forecasts and Bloomberg consensus

(TWD mn)	2Q26							
	Actual	q-q (%)	NMR	q-q (%)	Diff (%)	BBG	q-q (%)	Diff (%)
Net revenue	7,640	82.5	8,047	92.2	(5.1)	9,441	125.5	(19.1)
Gross profit	2,662	26.7	2,728	29.9	(2.4)	2,832	34.8	(6.0)
- OPEX	(1,015)	38.5	(499)	(32.0)	103.5	(714)	(2.6)	42.2
Operating profit	1,647	20.4	2,229	63.0	(26.1)	2,118	54.9	(22.3)
Net profit	1,639	14.8	2,255	57.9	(27.3)	1,896	32.8	(13.6)
EPS (TWD)	20.01	14.0	27.71	57.8	(27.8)	21.95	25.0	(8.8)
Margin	Actual	q-q (pp)	NMR		Diff (pp)	BBG		Diff (pp)
Gross margin (%)	34.8	(15.3)	33.9		0.9	30.0		4.8
- OPEX ratio	(13.3)	4.2	(6.2)		(7.1)	(7.6)		(5.7)
Operating margin (%)	21.6	(11.1)	27.7		(6.1)	22.4		(0.9)
Net margin (%)	21.4	(12.7)	28.0		(6.6)	20.1		1.4

Source: Company data, Bloomberg Finance L.P. consensus, Nomura estimates

Fig. 2: Alchip's 2026-27F forecast revisions

(TWD mn)	2026F			2027F		
	Revised	Previous	Change	Revised	Previous	Change
Net revenue	72,898	77,118	(5.5%)	102,521	123,283	(16.8%)
Gross profit	17,122	17,116	0.0%	19,531	23,479	(16.8%)
Operating profit	12,630	11,861	6.5%	14,432	15,835	(8.9%)
Net profit	11,699	11,241	4.1%	12,861	14,006	(8.2%)
EPS (TWD)	141.71	138.16	2.6%	151.30	172.14	(12.1%)
Margin	Revised	Previous	Change	Revised	Previous	Change
Gross margin (%)	23.5	22.2	1.3 ppts	19.1	19.0	0.0 ppts
Operating margin (%)	17.3	15.4	1.9 ppts	14.1	12.8	1.2 ppts
Net margin (%)	16.0	14.6	1.5 ppts	12.5	11.4	1.2 ppts

Source: Company data, Nomura estimates

Fig. 3: Alchip P&L

(TWD mn)	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26F	4Q26F	1Q27F	2Q27F	3Q27F	4Q27F	2025	2026F	2027F	2028F
Net revenue	10,485	9,144	6,570	4,727	4,187	7,640	24,113	36,959	37,126	30,239	21,607	13,548	30,926	72,898	102,521	152,320
Gross profit	2,429	1,887	1,841	1,997	2,101	2,662	4,856	7,503	7,009	5,709	4,079	2,733	8,154	17,122	19,531	29,494
- OPEX	(934)	(737)	(684)	(782)	(733)	(1,015)	(1,302)	(1,441)	(1,448)	(1,482)	(1,167)	(1,003)	(3,138)	(4,492)	(5,099)	(6,577)
Operating profit	1,494	1,150	1,157	1,215	1,368	1,647	3,554	6,061	5,562	4,227	2,913	1,730	5,017	12,630	14,432	22,918
Net profit	1,464	1,324	1,328	1,483	1,428	1,639	3,348	5,285	4,729	3,680	2,671	1,781	5,598	11,699	12,861	20,246
EPS (TWD)	18.13	16.37	16.40	18.33	17.55	20.01	40.10	63.29	55.64	43.30	31.42	20.95	69.18	141.71	151.30	238.19
Profitability	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26F	4Q26F	1Q27F	2Q27F	3Q27F	4Q27F	2025	2026F	2027F	2028F
Gross margin	23.2%	20.6%	28.0%	42.3%	50.2%	34.8%	20.1%	20.3%	18.9%	18.9%	18.9%	20.2%	26.4%	23.5%	19.1%	19.4%
- OPEX ratio	(8.9%)	(8.1%)	(10.4%)	(16.6%)	(17.5%)	(13.3%)	(5.4%)	(3.9%)	(3.9%)	(4.9%)	(5.4%)	(7.4%)	(10.1%)	(6.2%)	(5.0%)	(4.3%)
Operating margin	14.3%	12.6%	17.6%	25.7%	32.7%	21.6%	14.7%	16.4%	15.0%	14.0%	13.5%	12.8%	16.2%	17.3%	14.1%	15.0%
Net margin	14.0%	14.5%	20.2%	31.4%	34.1%	21.4%	13.9%	14.3%	12.7%	12.2%	12.4%	13.1%	18.1%	16.0%	12.5%	13.3%
Q-Q	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26F	4Q26F	1Q27F	2Q27F	3Q27F	4Q27F	2025	2026F	2027F	2028F
Net revenue	(19.8%)	(12.8%)	(28.2%)	(28.0%)	(11.4%)	82.5%	215.6%	53.3%	0.5%	(18.6%)	(28.5%)	(37.3%)				
Gross profit	(12.3%)	(22.3%)	(2.5%)	8.5%	5.2%	26.7%	82.4%	54.5%	(6.6%)	(18.6%)	(28.5%)	(33.0%)				
Operating profit	(14.8%)	(23.0%)	0.6%	5.0%	12.6%	20.4%	115.8%	70.5%	(8.2%)	(24.0%)	(31.1%)	(40.6%)				
Net profit	(20.3%)	(9.6%)	0.3%	11.7%	(3.7%)	14.8%	104.3%	57.8%	(10.5%)	(22.2%)	(27.4%)	(33.3%)				
Y-Y	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26F	4Q26F	1Q27F	2Q27F	3Q27F	4Q27F	2025	2026F	2027F	2028F
Net revenue	(0.0%)	(32.7%)	(55.7%)	(63.8%)	(60.1%)	(16.5%)	267.0%	681.8%	786.7%	295.8%	(10.4%)	(63.3%)	(40.5%)	135.7%	40.6%	48.6%
Gross profit	23.2%	(26.7%)	(36.2%)	(27.9%)	(13.5%)	41.1%	163.8%	275.6%	233.6%	114.5%	(16.0%)	(63.6%)	(20.1%)	110.0%	14.1%	51.0%
- OPEX	23.1%	(20.4%)	(31.9%)	(22.9%)	(21.5%)	37.7%	90.5%	84.2%	97.5%	45.9%	(10.4%)	(30.4%)	(15.3%)	43.2%	13.5%	29.0%
Operating profit	23.3%	(30.3%)	(38.5%)	(30.7%)	(8.5%)	43.2%	207.1%	398.8%	306.7%	156.7%	(18.1%)	(71.5%)	(22.8%)	151.7%	14.3%	58.8%
Net profit	19.0%	(16.6%)	(25.9%)	(19.2%)	(2.4%)	23.8%	152.1%	256.3%	231.2%	124.6%	(20.2%)	(66.3%)	(13.1%)	109.0%	9.9%	57.4%

Source: Company data, Nomura estimates

Fig. 4: Nomura forecasts vs Bloomberg consensus estimates for 2026-28F

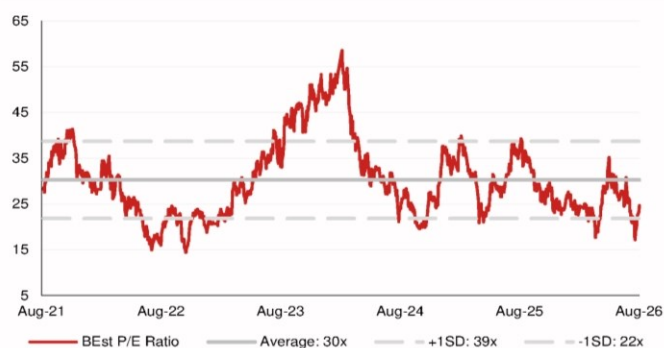
(TWD mn)	2026F			2027F			2028F		
	NMR	BBG	Diff (%)	NMR	BBG	Diff (%)	NMR	BBG	Diff (%)
Net revenue	72,898	74,343	(1.9)	102,521	114,000	(10.1)	152,320	151,142	0.8
Gross profit	17,122	15,374	11.4	19,531	21,375	(8.6)	29,494	27,735	6.3
Operating profit	12,630	12,741	(0.9)	14,432	16,988	(15.0)	22,918	23,762	(3.6)
Net profit	11,699	11,718	(0.2)	12,861	15,681	(18.0)	20,246	19,635	3.1
EPS (TWD)	141.71	143.48	(1.2)	151.30	184.82	(18.1)	238.19	233.58	2.0
Margin	NMR	BBG	Diff (%)	NMR	BBG	Diff (%)	NMR	BBG	Diff (%)
Gross margin (%)	23.5	20.7	2.8	19.1	18.8	0.3	19.4	18.4	1.0
Operating margin (%)	17.3	17.1	0.2	14.1	14.9	(0.8)	15.0	15.7	(0.7)
Net margin (%)	16.0	15.8	0.3	12.5	13.8	(1.2)	13.3	13.0	0.3

Source: Company data, Bloomberg Finance L.P., Nomura estimates

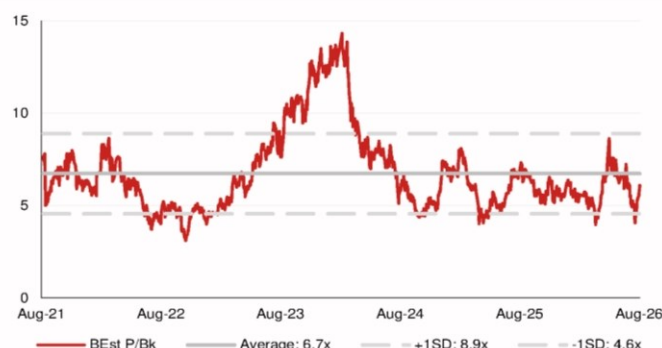
Valuation methodology and risks

Our new TP of TWD5,300 is based on 35x 2027F EPS. Our valuation multiple of 35x is at the mid-to-high end of its trading range (average 30x in the past five years).

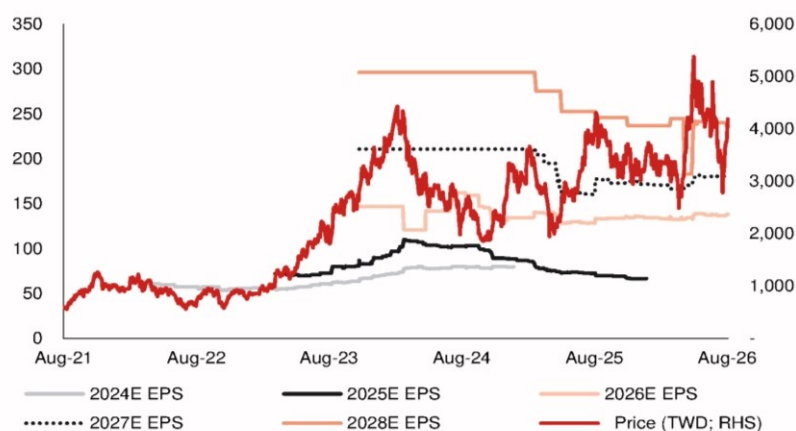
Major downside risks: 1) increasing in-sourcing trend from customers, 2) insufficient manufacturing and packaging capacity, and 3) intense competition in the ASIC business.

Fig. 5: Alchip's consensus 1BF P/E

Source: Bloomberg Finance L.P., Nomura research

Fig. 6: Alchip's consensus 1BF P/B

Source: Bloomberg Finance L.P., Nomura research

Fig. 7: Alchip's share price vs Bloomberg consensus EPS estimate revisions

Source: Bloomberg Finance L.P., Nomura research

Appendix A-1

This report has been produced by Nomura International (Hong Kong) Ltd., Taipei Branch (NITB), Taiwan.

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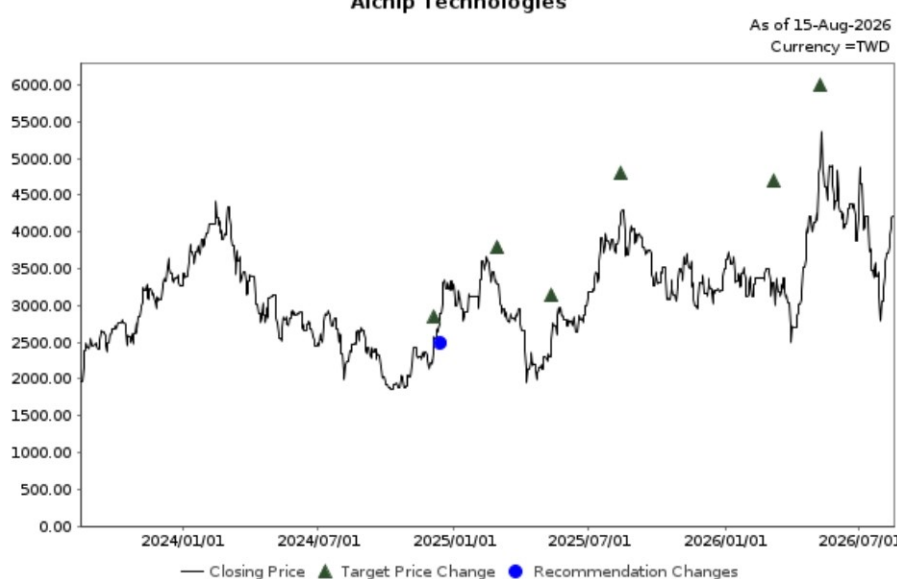
Issuer	Ticker	Price	Price date	Stock rating	Sector rating	Disclosures
Alchip Technologies	3661 TT	TWD 4,210.00	14-Aug-2026	Buy	N/A	

Alchip Technologies (3661 TT)

TWD 4,210.00 (14-Aug-2026) Buy (Sector rating: N/A)

Rating and target price chart (three year history)

Alchip Technologies



Date	Rating	Target price	Closing price
09-May-26		6,000.00	4,890.00
07-Mar-26		4,700.00	3,310.00
13-Aug-25		4,800.00	4,120.00
12-May-25		3,150.00	2,530.00
28-Feb-25		3,800.00	3,285.00
05-Dec-24	Buy		2,575.00
05-Dec-24		2,850.00	2,575.00

For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology Our TP of TWD5,300 is based on 35x 2027F EPS. Our valuation multiple of 35x is at around mid-end of its trading range (vs. average of 30x in the past five years). Benchmark is TAIEX.

Risks that may impede the achievement of the target price Major downside risks: 1) more in-sourcing trend from customers, 2) insufficient manufacturing and packaging capacity, and. 3) intense competition in the ASIC business.

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As at 30 June 2026.

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